

Half year results presentation



**6 months ended
30 June 2024**



Agenda



01 Overview

02 Market Unit performance

03 Financial review

04 Solvency, Funding and Investments

05 Sustainability and ESG

06 Outlook and operating priorities

07 Q&A



James Lenton
Group Chief
Financial Officer



Clare Binmore
Group Performance
Director



Gareth Evans
Group Treasurer



Bupa overview

01



James Lenton
Group CFO

Group financial highlights

£8.3bn

Revenue

+16% at CER, HY 2023: £7.1bn
+12% at AER, HY 2023: £7.4bn

£369m

**Underlying profit
before tax**

+50% at CER, HY 2023: £247m
+45% at AER, HY 2023: £254m

£420m

**Statutory profit
before tax**

+74% at AER, HY 2023: £241m

£676m

**Net cash generated
from operating activities**

(18)% at AER, HY 2023: £823m

167%

**Solvency II
coverage ratio¹**

FY 2023: 175%

1. The HY 2024 Solvency II capital position is an estimate and unaudited.

3x6 Strategy



Driving Bupa's growth through transformation

Our purpose

**Helping people
live longer, healthier,
happier lives and
making a better world**

Our mission

**To be the
world's most
customer-centric
healthcare company**

Ambitions



40%

Customer care touch-points owned by Bupa



60%

Active digital customers



80

Net Promoter Score of 80



Brave

Make new possibilities happen



Caring

Act with empathy and respect



Responsible

Own your decisions and actions

6x Strategic and Enabling Pillars

Customers

Obsession with our customers' experience



Growth

Strong performance and governance



Transformation

Continuous innovation and preparation for tomorrow



Sustainability

Making a positive impact on the world



Data

Enhanced data-driven decision-making



Agile culture

The best, most diverse people and a great place to work



Examples of progress against our strategy

Customer

91% of BUs improved their **NPS**.

Implemented around **5,000** customer experience improvements.



Growth

Insurance customer base to **33.2m** (+23% HY23).

Provision customers to **14.2m** (+12% HY23).

Took a **63%** controlling stake in Niva Bupa.



Transformation

Over **6.8m** **Bluea**¹ customers globally

Served by a growing network of **15,500** clinicians and doctors.



Sustainability

Healthy Cities participants have taken over **1.3 billion** steps and unlocked over **£1 million** of funding for local regeneration projects.



Data

Over **14,900** of our people are accessing and using data from our platforms to drive decision making.



Agile Culture

We listened to **34,000** customer calls.

Generated **14,500** ideas to help improve our customer experience.



1. Or an equivalent digital solution.

Market Unit performance **APAC**

02



James Lenton
Group CFO

Curtis McGrath, Australian Paralympian & Bupa Ambassador

Half year 2024 results presentation

Bupa Asia Pacific

Improved financial performance across all business units with growth in insurance members, increase in provision customers and higher occupancy in aged care

- Australia Health Insurance:** Revenues increased 6% (when excluding the impact of COVID-19 savings returned to customers) with domestic market share expanding for the sixth consecutive quarter¹. Underlying profit increased as the impact of returning COVID-19 claims savings reduced.
- Australia Health Services:** Grew revenue and underlying profit. Revenue growth delivered across all businesses and was supported by an uplift in visa assessment volumes in Bupa Medical Visa Services.
- Australia Villages and Aged Care:** Revenue and underlying profit increased with occupancy closing at a six year high of 92%² (HY 2023: 87%).
- New Zealand Villages and Aged Care:** Revenue was steady while underlying profits grew. Occupancy increased to 92%² (HY 2023: 91%).
- Hong Kong:** Both revenue and underlying profit increased primarily due to customer growth in Health Services while Hong Kong Insurance returned to profitability following improved pricing terms on the corporate book.

1. 31 March 2024, Source: APRA market data. 2, Closing occupancy.



Revenue

£3.1bn

+11% AER, HY 2023: £2.8bn
+16% CER, HY 2023: £2.6bn

Underlying profit

£233m

+472% AER, HY 2023: £41m
+491% CER, HY 2023: £39m

Combined operating ratio

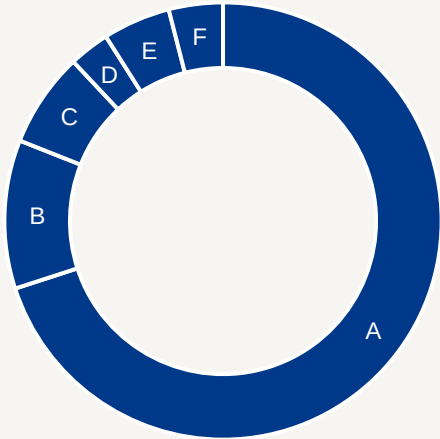
Bupa HI Pty Ltd (Australia)

COR impacted by timing differences between the recognition of COVID-19 claims savings and returns to customers



Revenue by business

- A. Bupa Health Insurance **70%**
- B. Bupa Health Services **11%**
- C. Bupa Villages and Aged Care Australia **7%**
- D. Bupa Villages and Aged Care New Zealand **3%**
- E. Hong Kong Insurance **5%**
- F. Hong Kong Health Services **4%**



Market Unit performance **ELA**

02



James Lenton
Group CFO



Mariana Zuñiga, Chilean Paralympian & Bupa Ambassador

Europe and Latin America

Revenue and underlying profit growth driven by customer volumes and investment returns

- **Sanitas Seguros:** Revenue growth driven by acquisition of Asefa health portfolio and organic growth. Underlying profit reduced due to margin compression from claims inflation.
- **Sanitas Dental:** Revenue and profit growth driven by customer volumes and improved margins.
- **Sanitas Hospitals:** Revenue reduced as our longstanding public private partnership came to an end as anticipated with profit increasing slightly. Excluding this contract revenue and profit increased due to higher activity.
- **Sanitas Mayores:** Continues to perform well driven by an increase in occupancy to 96%¹ (HY 2023: 95%).
- **Bupa Chile:** Revenue decreased and the business reported an underlying loss following cancellation of GES price increase in the Isapre.
- **LuxMed (Poland):** Revenue and profit increased as result of customer growth in health provision and the development of the new InPMI² product.
- **Bupa Acıbadem Sigorta (Türkiye):** Revenue and profit increased driven by higher investment returns and pricing increases to keep pace with inflation.
- **Care Plus (Brazil):** Delivered strong revenue and profit growth as a result of higher customer numbers and investment returns.
- **Bupa Mexico:** Revenue and profit increased driven by growth in customer numbers and improved combined ratio.
- **BGLA:** Revenue and profit increased due to pricing changes and higher investment returns.

1. Closing occupancy, 2. Inpatient Private Medical Insurance

Revenue

£2.7bn

+5% AER, HY 2023: £2.6bn

+11% CER, HY 2023: £2.4bn

Underlying profit

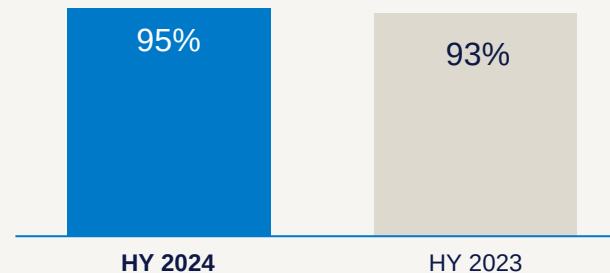
£155m

+7% AER, HY 2023: £145m

+10% CER, HY 2023: £141m

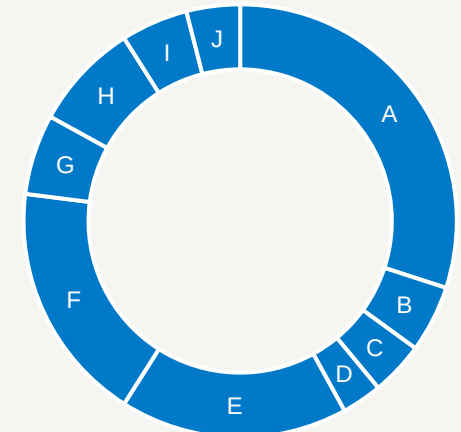
Combined operating ratio

Sanitas S.A. de Seguros (Spain)



Revenue by business

- A. Sanitas Seguros **30%**
- B. Sanitas Dental **5%**
- C. Sanitas Hospitals and New Services **4%**
- D. Sanitas Mayores **3%**
- E. Bupa Chile **17%**
- F. LuxMed (Poland) **18%**
- G. Bupa Acıbadem Sigorta (Türkiye) **6%**
- H. Care Plus (Brazil) **8%**
- I. Bupa Mexico **5%**
- J. Bupa Global Latin America (BGLA) **4%**



Market Unit performance **BGIUK**

02



James Lenton
Group CFO

Richard Whitehead MBE, Great Britain Paralympian & Bupa Ambassador

Bupa Global, India & UK

Strong revenue and customer growth driven by UK Insurance, Health Services and the completed acquisition of a controlling stake in Niva Bupa

- **UK Insurance:** Revenue increased as we grew by over 433,000 net customers. Underlying profit reduced due to the timing of the return of premium release in the prior year, which offset the tail end of COVID-19 deferred claims in UK Insurance, some of which arose in the first half of 2024.
- **Bupa Global:** Revenue and underlying profit increased driven by customer growth and higher investment returns.
- **Niva Bupa:** Business is performing well and continues to see customer growth above our expectations. Reported an underlying loss for the period due to acquisition cost strain on short term new business and renewals, whilst profit associated with the value of in-force business was recognised at fair value on acquisition which would normally have earned through HY 2024.
- **Dental:** Returned to profitability as we see the early stages of our turnaround strategy deliver.
- **Care Services:** Delivered good growth in revenue and underlying profit with occupancy reaching 90%¹ (HY 2023: 89%).
- **Health Services:** Revenue increased and underlying losses reduced, driven by higher customer numbers in Clinics and the Cromwell Hospital.

Revenue

£2.5bn

+22% AER, HY 2023: £2.1bn
+23% CER, HY 2023: £2.1bn

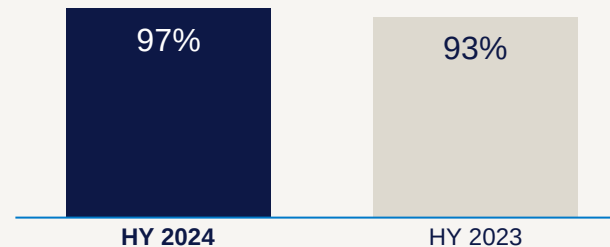
Underlying profit

£64m

(55)% AER, HY 2023: £140m
(55)% CER, HY 2023: £141m

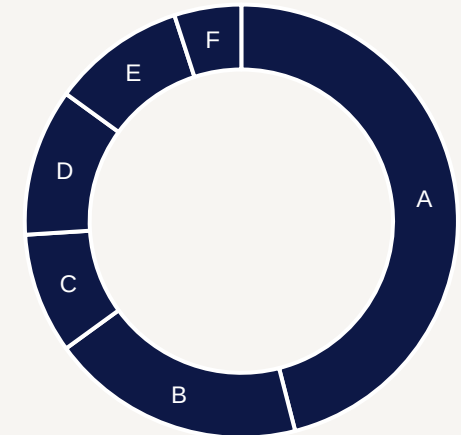
Combined operating ratio

Bupa Insurance Ltd (UK)



Revenue by business

- A. UK Insurance **46%**
- B. Bupa Global **19%**
- C. Niva Bupa **9%**
- D. Bupa Dental Care **11%**
- E. Care Services **10%**
- F. Health Services **5%**



1. Closing occupancy.

Other businesses

Comprised of our associate insurance and provision businesses in Saudi Arabia. Niva Bupa now forms part of the new Bupa Global, India and UK Market Unit after Bupa took a controlling stake.

Saudi Arabia

- Underlying profit of £56m was up 33%¹ at CER largely driven by revenue growth and higher investment returns in Saudi Arabia

¹Calculated excluding Niva Bupa from the HY 2023 comparative.



03

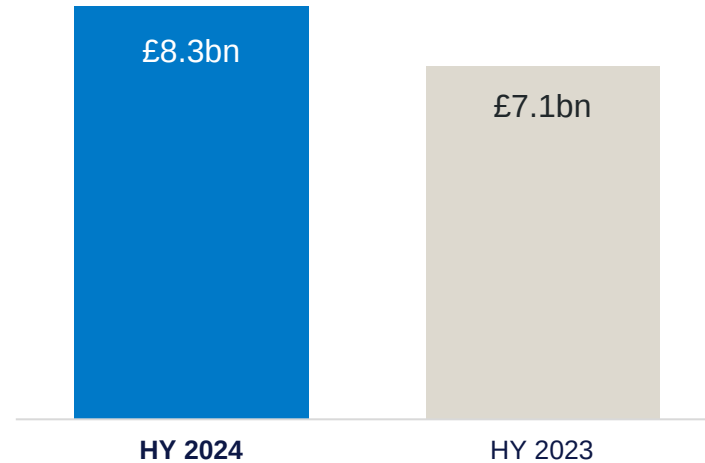
Financial Review



Clare Binmore
Group Performance
Director

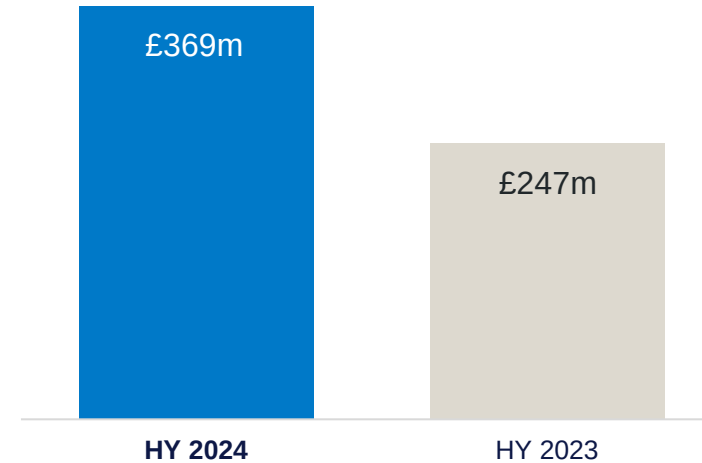
Financial overview

Revenue



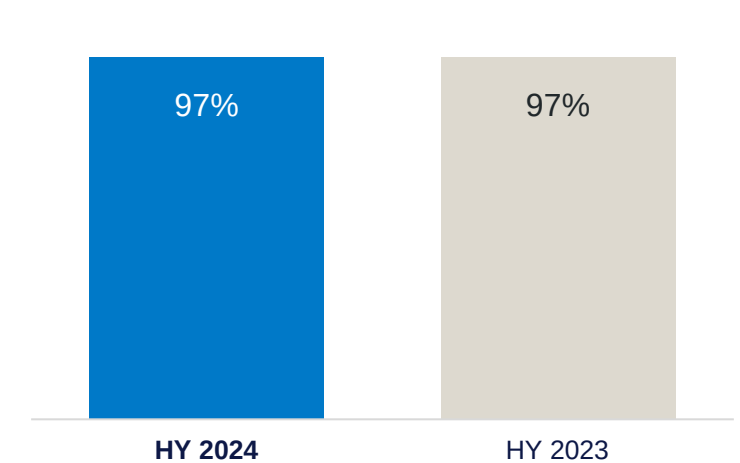
- **Revenue** increased by 16% at CER.
- **Health insurance** revenue grew by 18% driven by customer growth and pricing action.
- **Health provision** revenue increased by 10% driven by higher levels of activity.
- **Aged care** revenue increased with higher levels of activity and occupancy which increased by 2ppts.

Underlying profit before taxation¹



- **Underlying profit** increased by 50% at CER.
- Increase driven by strong **customer growth and higher investment returns** across all market units.
- Period on period results are impacted by a reduction in the cost of **final COVID-19 claim savings returned** to customers in Australia Health Insurance.

Combined operating ratio (COR)



- **Group COR** unchanged at 97% with strong revenue growth offset by margin reduction in Chile, loss in Niva Bupa and the timing of the return of premium release impacting UK Insurance.
- Across our **three main insurance businesses** the COR of Sanitas Seguros increased due to claims inflation; Australia Health Insurance reduced following the prior year impacts of returning claims savings; and Bupa Insurance Limited, our UK-based insurance entity increased due to the timing of the return of premium release.

1. Underlying profit is a non-GAAP financial measure. This means it is not comparable to other companies. Underlying profit reflects our trading performance and excludes a number of items included in statutory profit before taxation, to facilitate period on period comparison. A reconciliation to statutory profit before taxation can be found in the notes to the financial statements.

Statutory profit before taxation

Statutory profit before taxation increased by £179m to £420m driven by the increase in underlying profit and positive variance in non-underlying items



	HY 2024 (AER) £m	HY 2023 (AER) £m
Underlying profit before taxation	369	254
Niva Bupa fair value gain on pre-existing shareholding	309	-
Chile payment plan provision	(215)	-
Short-term fluctuation on investment returns incl. mark to market	(12)	6
Net loss on disposal of businesses and transaction costs on business combinations	(13)	(2)
Realised and unrealised foreign exchange gain	8	12
Amortisation of bed licences in Bupa Villages and Aged Care Australia	(12)	(16)
Other non-underlying items	(14)	(13)
Total non-underlying items	51	(13)
Statutory profit before taxation	420	241

04

Solvency, Funding and Investments



Clare Binmore
Group Performance
Director

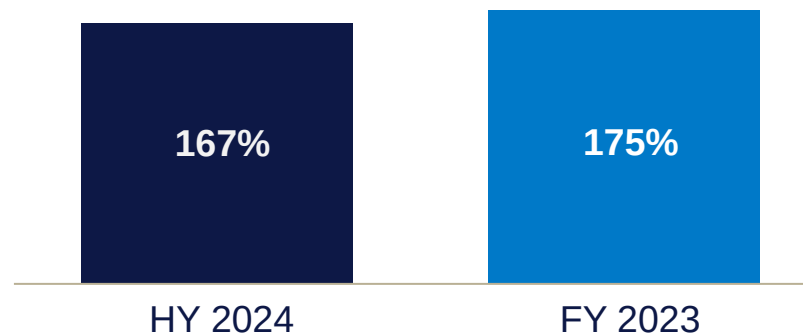


Gareth Evans
Group Treasurer

HY 2024 Solvency position



Solvency II coverage ratio



Risk sensitivities

Solvency Coverage Ratio	167%
Property values - 10%	157%
Loss ratio worsening - 2% ²	160%
Sterling depreciates - 20%	161%
Group specific parameter (GSP) + 0.2% ³	165%
Credit spreads + 100bps assuming no credit transition	166%
Interest rate - 100bps	167%
Equity markets - 20%	167%
Pension risk + 10%	167%

- Capital coverage at half year was 167% with £2.0bn surplus over Group SCR.
- Decrease in the Solvency II coverage ratio mainly driven by taking a controlling stake in Niva Bupa in January 2024. The impact of this acquisition is an estimated 8 percentage point reduction to the solvency coverage ratio, in line with the pro-forma impact from FY23.
- Continue to maintain capital towards the top of the Capital Risk Appetite working range of 140% - 170% of SCR.
- Capital coverage is largely unaffected by market risk sensitivities due to our risk management approach.
- Property (mainly care homes, hospitals and clinics) remains the most sensitive risk to our capital coverage.

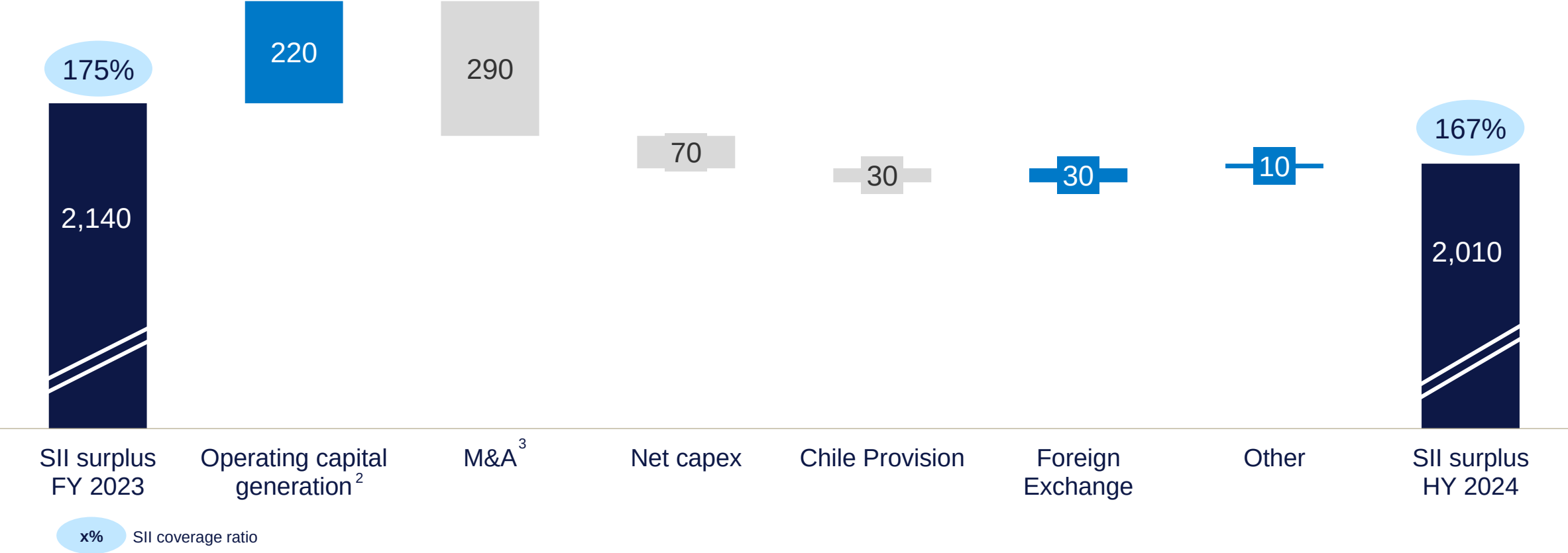
¹ The HY 2024 Solvency II capital position, SCR and coverage ratio are estimates and unaudited.

² Calculated as the impact on Own Funds using the retrospective 12-month net earned premium.

³ Group Specific Parameter (GSP) is substituted for the insurance premium risk parameter in the standard formula, reflecting the Group's own loss experience.

Solvency¹

Movement in Solvency II capital surplus, £m



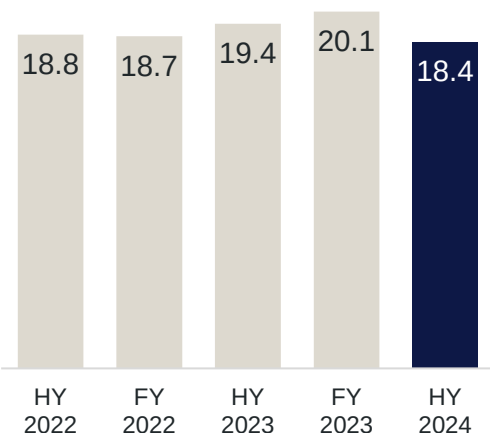
1 The HY 2024 Solvency II capital position, SCR and coverage ratio are estimates and unaudited.
 2 Operating capital of £220m includes adjusted IFRS comprehensive income, reflecting SII valuation differences and the reclassification of non-operating items.
 3. M&A and Niva Acquisition of which £221m is from Niva Acquisition and £68m is other M&A.

Funding

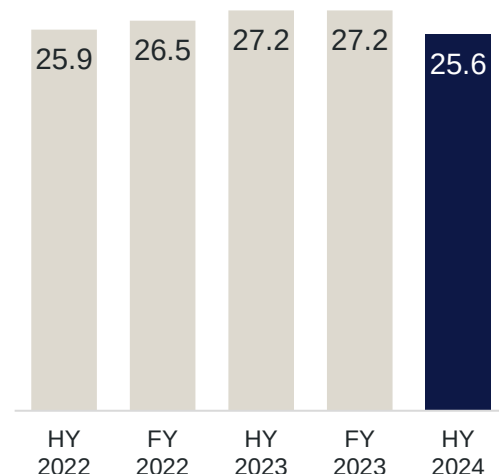


Leverage and liquidity well positioned and Moody's rating re-affirmed

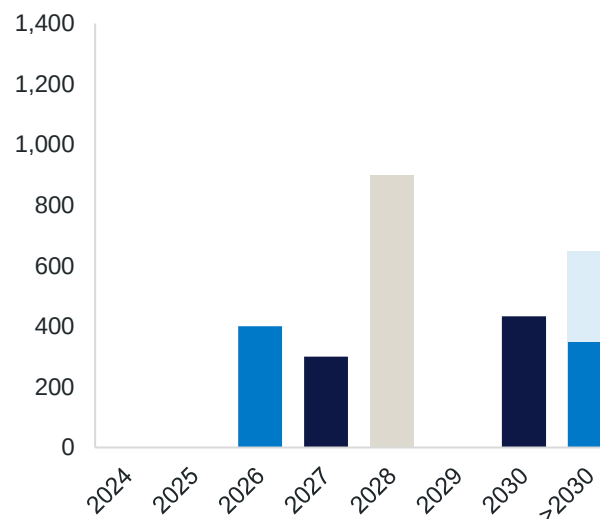
Leverage ratio^{1,2}



Leverage ratio when accounting for IFRS 16 lease liabilities²



Debt maturity profile



- In H1, we used available cash to complete the Niva Bupa transaction and to part fund the repayment of a senior bond.
- Leverage down to 18.4%.
- At 30 June, our £900m Revolving Credit Facility was drawn by £150m.
- No changes to credit ratings in the period.

Ratings

A3

Moody's senior debt rating stable

BBB+

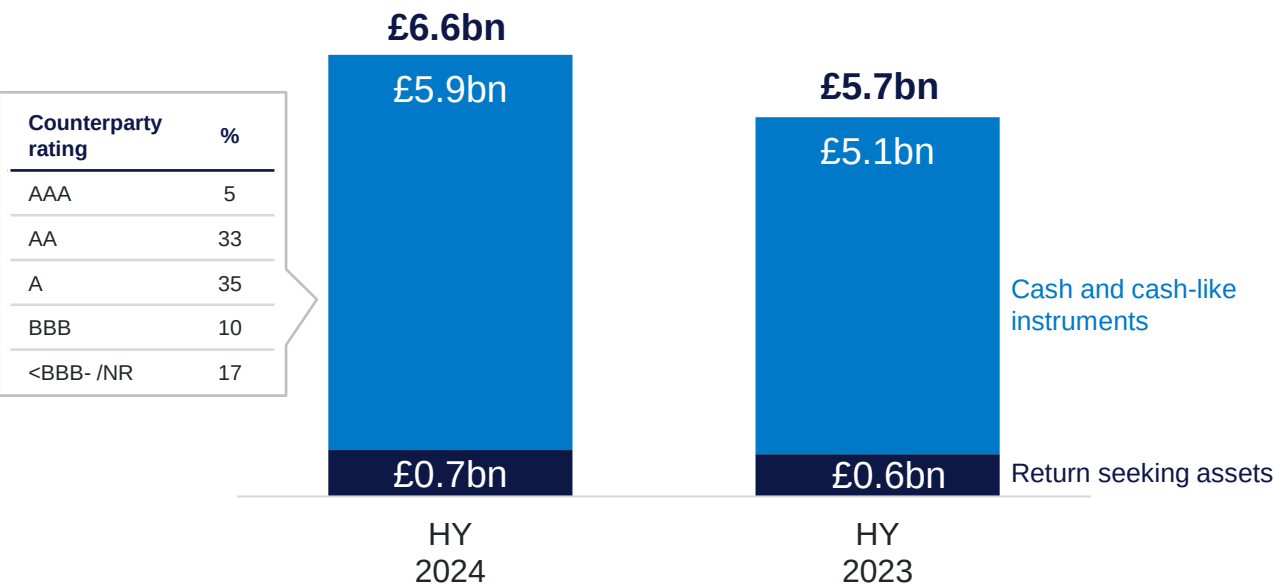
Fitch senior debt rating stable

- Bupa Finance plc Senior
- Bupa Finance plc Tier 2 Subordinated
- Bupa Finance plc RT1 Subordinated³
- Bank Facilities

1. Leverage is calculated based on gross debt (excluding RT1) divided by gross debt plus equity.
 2. HY 2022 onward shown on a restated IFRS 17 basis.
 3. Perpetual notes with a 2032 call date.

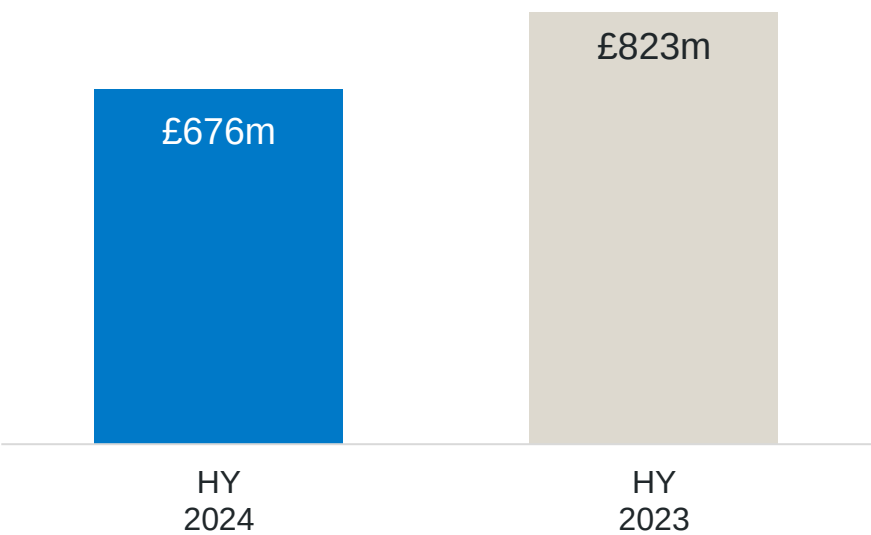
Cash and financial investments

Cash and investment portfolio¹



- **Investment strategy** remains conservative focussed on high credit quality and liquid assets
- **Asset allocation** heavily weighted to cash and floating rate instruments. We also hold corporate and government bonds within certain insurance businesses, principally the circa £700m 'Return Seeking Asset' portfolios in UK and Australia.
- Increase in financial income on cash and investments with **effective yields higher across all Market Units** compared to H1 2023. Excluding Türkiye, yields increased by circa 90bps.

Net cash generated from operating activities



- **Net cash generated** from operating activities reduced by £147m period-on-period, to £676m due to the impact of COVID-19 claims savings in Australia Health Insurance increasing cash generated at HY 2023, the timing of collections on corporate and NHS contracts across the business and losses in Chile.

1.Niva Bupa included from HY24

05

Sustainability & ESG



James Lenton
Group CFO



Sustainability strategy

Mission Zero

By 2040 we will provide healthcare solutions that deliver a healthy future for people and planet



Net Zero

Mission Accelerate

By 2040 we will have used research, collaboration, and innovation to accelerate sustainable healthcare solutions



eco-Disruptive

Mission Regenerate

By 2040 we will play a leading role to improve people's health through the restoration and regeneration of nature



Healthy Cities

Our foundations:
 Strong action on wider ESG topics, including diversity and inclusion, responsible business conduct, social impact, governance and transparency

Sustainability progress



Healthy Cities

Participants have taken over **1.3 billion** steps and unlocked over **£1 million** of funding for local regeneration projects.

In H2 2024, Poland, Türkiye, Australia, New Zealand and Brazil will join the challenge.



Eco-Disruptive Programme

Refocused our **eco-Disruptive programme** to help those in society who face barriers to accessing quality healthcare and services.



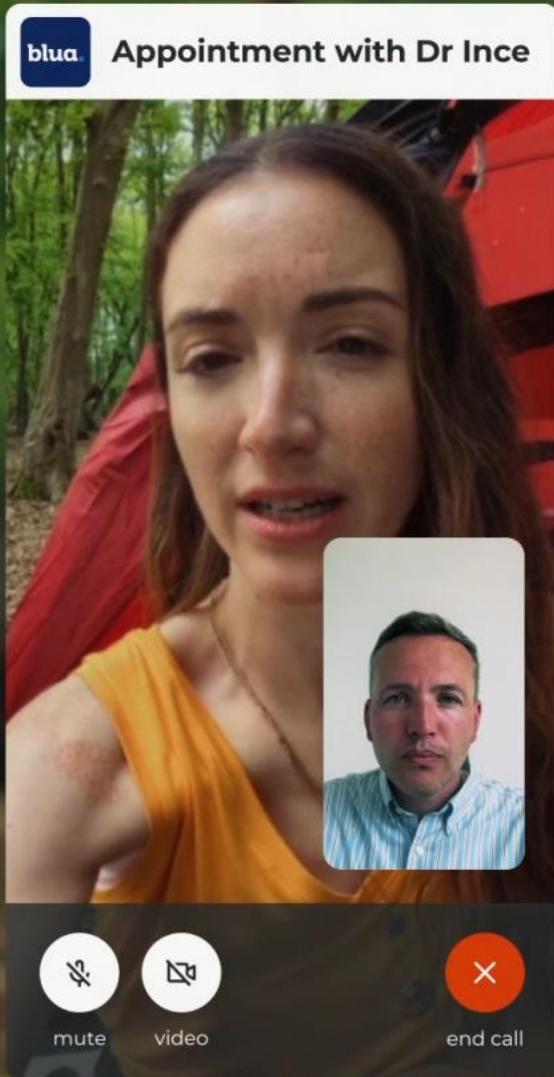
Renewable Energy

Globally **91%** of our electricity consumption came from renewable sources (54%: 2019).



Advocacy and coalitions

Built on our exclusive health partnership with the **Norman Foster Institute for Sustainable Cities**.



Outlook and operating priorities

06

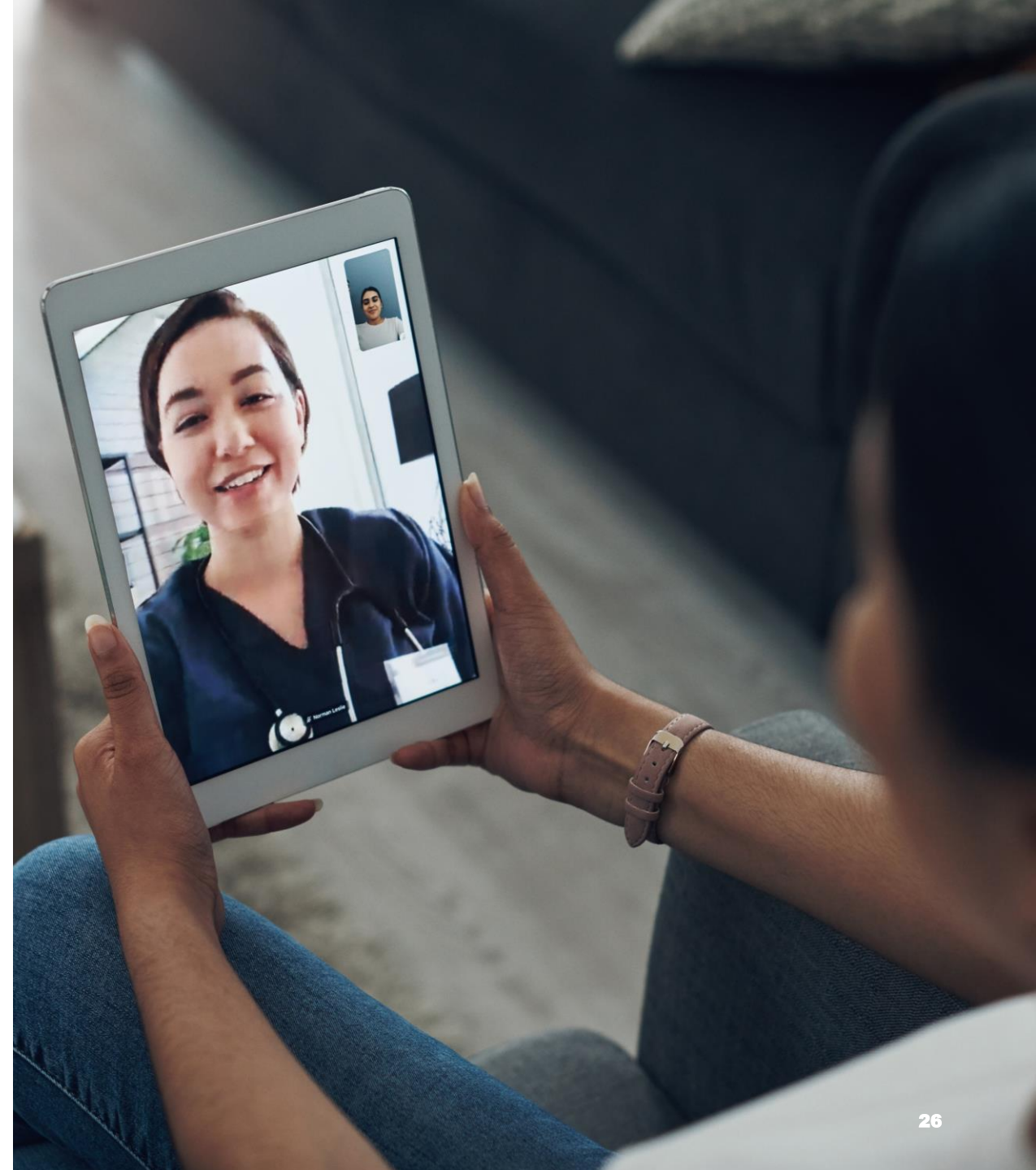


James Lenton
Group CFO

Outlook

We are encouraged by the **positive overall performance and momentum** across the Group as our businesses continue to transform against the strategic priorities.

Looking ahead, we remain well **placed to navigate challenges and take opportunities** because of our underlying financial strength, resilience and diversified business model.



07

Q&A



James Lenton
Group CFO



Clare Binmore
Group Performance
Director



Gareth Evans
Group Treasurer

Further information

Website
www.bupa.com/financials

ir@bupa.com



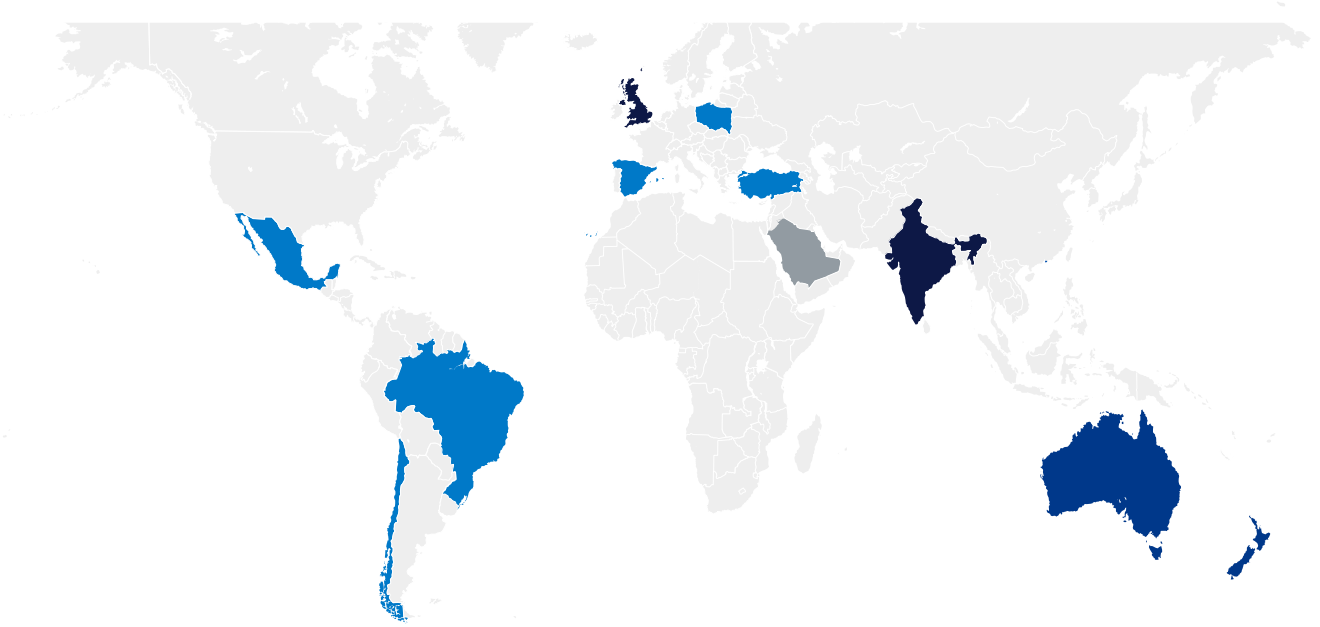
Appendix



Organisation structure

Bupa's purpose is helping people live longer, healthier, happier lives and making a better world.

- Founded in 1947, Bupa is a private company limited by guarantee. With no shareholders, we reinvest profits into providing more and better healthcare for the benefit of current and future customers.
- We are an international healthcare company serving over 50 million customers worldwide¹.
- Over the past 75 years, our global footprint has grown from our origins in the UK to Australia, Spain, Chile, Poland, New Zealand, Hong Kong SAR, Türkiye, Brazil, Mexico and India. We also have associate businesses in Saudi Arabia.



- **Bupa Asia Pacific**
- **Europe and Latin America**
- **Bupa Global, India and UK**
- **Associate business in Saudi Arabia**

IPMI: We also offer international private medical insurance (IPMI) for cover in most countries, including through our associate business Highway to Health (GeoBlue) in the US.

1. As reported at full year 2023 which includes a full 12 month of provision customers served.

Bupa's Business Mix

Business mix¹
Bupa in the context
of the wider
insurance market

Non-Life Insurance		Health Insurance – Bupa focus				Life Insurance	
Motor Specialist P&C	Health insurance ¹					Life Personal Lines	
	Health insurance accounts for 72% of our total revenue with 33m insurance customers worldwide.	Domestic health insurance presence in: Australia, UK, Spain, Saudi Arabia, India, Chile, Hong Kong, Türkiye, Brazil, Poland, Latin America and Mexico.	International Private Medical Insurance: through Bupa Global.	Dental insurance: Australia, the UK, Spain, Chile, Poland, Hong Kong, Türkiye, Brazil, and through Bupa Global.			
	Health provision						
	Health provision accounts for 20% of our total revenue with 14m customers. We run 25 hospitals, around 900 dental centres and 400 health clinics.	Hospitals: Spain, Chile, Poland, Mexico and one in the UK	Dental centres: UK, Ireland, Australia, Spain, Chile, Poland, Brazil and Hong Kong.	Clinics: Spain, Chile, Poland, the UK, Hong Kong, Saudi Arabia and Australia ² .			
Aged Care							
	Residential aged care accounts for 8% of total revenue.	We provide aged care services in the UK, Spain, Australia and New Zealand					

1.We also provide travel insurance, cash plans, subscription products and third party administration arrangements in different markets.
 2.We also have very small numbers of clinics in other Latin American countries.

Footprint and participation

		Bupa Asia Pacific			Europe and Latin America							Bupa Global, India and UK			Other
		Australia	New Zealand	Hong Kong	Spain	Poland	Türkiye	Chile	Brazil	Bupa Global Latin America	Mexico	United Kingdom	India	Bupa Global ¹	Saudi Arabia ²
Funding	Health insurance	■		■	■	■	■	■	■	■	■	■	■	■	■
	Health subscription			■	■	■		■				■			
	Dental insurance	■		■	■	■		■	■			■			
	Dental subscription			■								■			
Health provision	Clinics	■		■	■	■		■		■		■			■
	Hospitals				■	■		■			■	■			
	Dental centres	■		■	■	■		■	■			■ ⁴			
	Optical and audiology	■				■									
Aged care provision	Care homes	■	■		■ ³							■			
	Retirement villages	■	■									■			

Australia:
Bupa Health Insurance
Bupa Health Services
Bupa Villages and Aged Care Australia

New Zealand:
Bupa Villages and
Aged Care New Zealand

Bupa Hong Kong:
Health insurance and provision

Spain:
Sanitas Seguros
Sanitas Hospitales
and New Services
Sanitas Dental
Sanitas Mayores

Poland:
LUX MED

Türkiye :
Bupa Acıbadem Sigorta

Chile:
Bupa Chile

Brazil:
CarePlus

Mexico:
Bupa Mexico

IPMI:
Bupa Global
Latin America

UK:
Bupa UK Insurance
Bupa Dental Care
Bupa Care Services
Bupa Health Services

India:
Niva Bupa

IPMI:
Bupa Global

Saudi Arabia:
Private health insurer, Bupa Arabia², in which we have a 43.25% stake. We also have an interest in MyClinic.

1. Global international insurance available in most countries.
Includes 49% stake in Highway to Health (GeoBlue) in the US.

2. Bupa Arabia is an associate businesses.

3. In Spain we also have day care centres.

4. We also operate dental clinics in the Republic of Ireland managed through Bupa Global, India and UK

Breakdown of borrowings



	HY 2024 £m	FY 2023 £m	HY 2023 £m
£300m senior bond due 2024	0	299	290
£400m subordinated bond due 2026	400	399	399
£300m senior bond due 2027	268	268	246
€500m senior bond due 2030	442	447	-
£350m subordinated bond due 2035	348	347	347
Revolving credit facility	150	-	381
Bupa Chile borrowings	28	30	33
Other	59	46	2
Total borrowings	1,695	1,836	1,698

£300m subordinated perpetual Restricted Tier 1 ¹	297	297	297
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1. Equity accounted

Disclaimer

Cautionary statement concerning forward-looking statements

This document may contain certain 'forward-looking statements'. Forward-looking statements often use words such as 'intend', 'aim', 'project', 'anticipate', 'estimate', 'plan', 'believe', 'expect', 'forecasts', 'may', 'could', 'should', 'will', 'continue' or other words of similar meaning. Statements that are not historical facts, including statements about the beliefs and expectations of The British United Provident Association Limited (Bupa) and Bupa's directors or management, are forward-looking statements. In particular, but not exclusively, these may relate to Bupa's plans, current goals and expectations relating to future financial condition, performance and results.

By their nature, forward-looking statements involve risk and uncertainty because they relate to events and depend upon future circumstances that may or may not occur, many of which are beyond Bupa's control and all of which are solely based on Bupa's current beliefs and expectations about future events. These circumstances include, among others, global economic and business conditions, market-related risks such as fluctuations in interest rates and exchange rates, the policies and actions of governmental and regulatory authorities, risks arising out of health crises and pandemics, the impact of competition, the timing, impact and other uncertainties of future mergers or combinations within relevant industries. Such forward-looking statements involve known and unknown risks, uncertainties and other factors, which may cause the actual future condition, results, performance or achievements of Bupa or its industry to be materially different to those expressed or implied by such forward looking statements. Recipients should not place reliance on, and are cautioned against relying on, any forward-looking statements. Except as required by any laws and regulations, Bupa expressly disclaims any obligations or undertakings to release publicly any updates or revisions to any forward-looking statements to reflect any change in the expectations of Bupa with regard thereto or any change in events, conditions or circumstances on which any such statement is based.

Forward-looking statements in this document are current only as of the date on which such statements are made. No statement in this document is intended to be a profit forecast. Neither the content of Bupa's website nor the content of any other website accessible from hyperlinks on Bupa's website is incorporated into, or forms part of, this document.

The information contained in this presentation is intended to be read in conjunction with, and not as a substitute for, Bupa's half year statement for the six months ended 30 June 2024 (the "HY24 Report"). In the event of any inconsistency, the HY24 Report should be considered to prevail.